

A brief valuation of VISA Inc.

(^V NYSE)

A concise initiation of coverage on VISA Inc.—investment thesis, fair value, DCF valuation, and sensitivity analysis.

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Picture from Bloomberg.com

Visa Inc. is a company that almost everyone is familiar with; a financial network firm that operates in worldwide commerce made up from consumers, businesses, and governments all interacting with one another, generating \$200 trillion worth of payment flows in 2025. Visa's core fundamental to being the leading frontier in the payment processing industry is beyond just being a financial intermediary for capital flow, but, as an entity that facilitates free trade, connecting consumers and producers from different hemispheres, transacting distinct currencies in diverse respective economies, all performed behind the scenes.

VISA Inc. EBIT Growth Rate (%) w/ Macroeconomic Metrics

EBIT benchmarked with inflation and GDP growth rates.

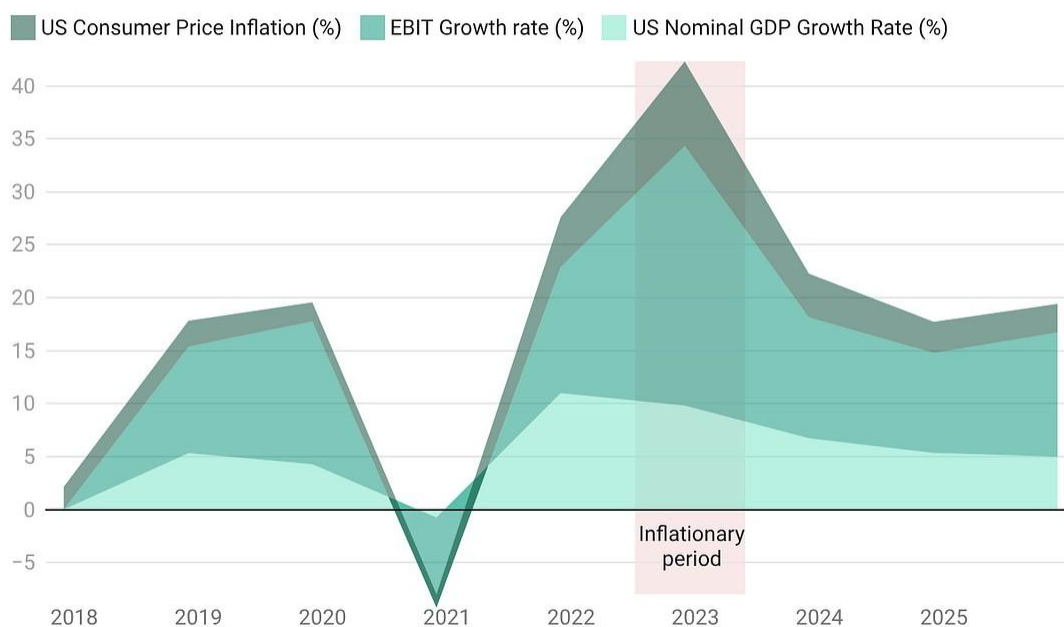


Chart: Hedge & Theory | Russell Lopez • Source: Capital IQ Pro

At first glance, how can a business in such a strong position face deterrential risks? Especially one where its brand is synonymous with purchasing goods and services, where, the performance of Visa is closely tied to consumer spending, which expected to climb at around 3% annually, globally for the next 5 years. But, in fact, there are legitimate concerns with respect to uncertainty and risk which this valuation plans to not only uncover, but, reassure a bullish outlook on Visa's future performance.

All and all, the large-cap company is revered heavily from investors but perhaps not for the obvious reasons and therefore, the objective is to solve for Visa's true valuation, competitive advantage, and impressive underlying operating metrics that will continue to be the impetus for its success.

At the time of this modelling for this report was completed, the current market price was \$359.61, the bearish outlook expects a fall as dramatic as 8.08% to as bullish as 29.81% for the foreseeable future. Our estimate expects an approximate 15% appreciation in the share price, let us unpack why.

The recommendation for Visa is a strong buy with a target price of **\$412.60**.

Summary Box

The call versus the market consensus.

The call		Market data	
Rating	BUY	Price (6 Oct 2026)	\$370.71
Fair value	\$413	52-week range	\$293.89 - \$385.57
Implied upside	14.80%	Market cap	\$687.9bn
Horizon	12 - 18 months	Enterprise value	\$697.8bn
		Shares out. (as-conv.)	1,914m
Valuation inputs		Avg. volume	6,612,943
WACC	7.12%	Dividend yield	0.72
Terminal growth	3.00%	Beta (5Y monthly)	0.76
Implied exit multiple	20.1x		
TV as % of EV	83.50%	Multiples	
		P/E (FY2026E)	28.02
Financials (FY2026E)		TEV/EBITDA (FY2026E)	21.46
Net revenue	\$45.5bn	Consensus target range	\$330 - \$466
EBIT margin	~65%	Fiscal year end	30-Sep

Market data most recently updated as of Oct.6th 2026.

Table: Hedge & Theory | Russell Lopez • Source: Market Data from Capital IQ Pro

A Primer for Visa's Operations.

Very often, the fallacious association of Visa is made out to be a firm about banking and finance, but, Visa is not a traditional financial institution like a bank, nor do they issue cards or lend out to borrowers or even set rates for that matter.

When consumers purchase from a merchant, a simple tap from a card that takes mere seconds may seem simple but in fact a complex process happens behind the

curtains; where fraud and security checks, issuer authorization, and deposit amount checks are all taken care of. This is all processed around the proprietary Visa Network composed of a linear system of four entities, whose interaction happens near instantaneously (in the matter of seconds):

Consumer → Issuer → VISA Network → Acquirer → Merchant

Last year in 2025, an average of 901 million transactions occurred everyday with our estimate expecting total payment volume to increase by 7.22% for this fiscal year of 2026. This leads us into the foundation of Visa's business model, centred around the proprietary VISA Global Network coupled with three main drivers that funnel revenue into the company.

First, aggregate consumer payments, categorized as domestic payments done in the United States and cross-border payments composed of international payments. Transactions are supported with approximately 160 different currencies, this is not including the addition of Visa's development of their own full stack stable coin (a cryptocurrency pegged to a real world currency). Once implemented, there will be a platform plan to link other stable coins and payment platforms together, if executed correct, this will facilitate the act of buying and selling in emerging markets and economies with an unstable-underlying currency. Of course, this first revenue variable is highly dependent on consumer activity and macro conditions which drive consumer spending. Hypothetically, if consumer spending were to split in half, it would spell trouble for Visa.

Second, classified as money movement solutions, the secondary revenue driver covers large payments of money beyond the typical business-to-consumer framework that frequently occurs. Allowing for commercial, businesses, and governments to transact securely, typically dealing with large sums of payments periodically. Similar to the first, money movement solutions are highly susceptible to the macroeconomic environment which dictate payment volume in this regard as well.

Third and finally, is the value-added services (classified as other revenue), a diversified revenue stream insulated from payment volume. A minority of Visa's income but nonetheless, additional operational income that are separated from the previous two. Specifically, the value-added services can be broken down into four components, with respect to 2025 data: issuing solutions \$125B)—aids financial institutions in scaling online payments, accepting solutions \$95B optimizes checkout experience for business to consumer, risk & security solutions \$150B)—security apparatus and applying machine learning methods to mitigate fraud, and advisory & other solutions \$150B consulting to help businesses scale with strong economic intel. We will see shortly how this revenue stream is projected to grow faster than expected.

VISA Inc. Revenue Streams in 2025 FY

Excluding client incentives, (USD in Billions)

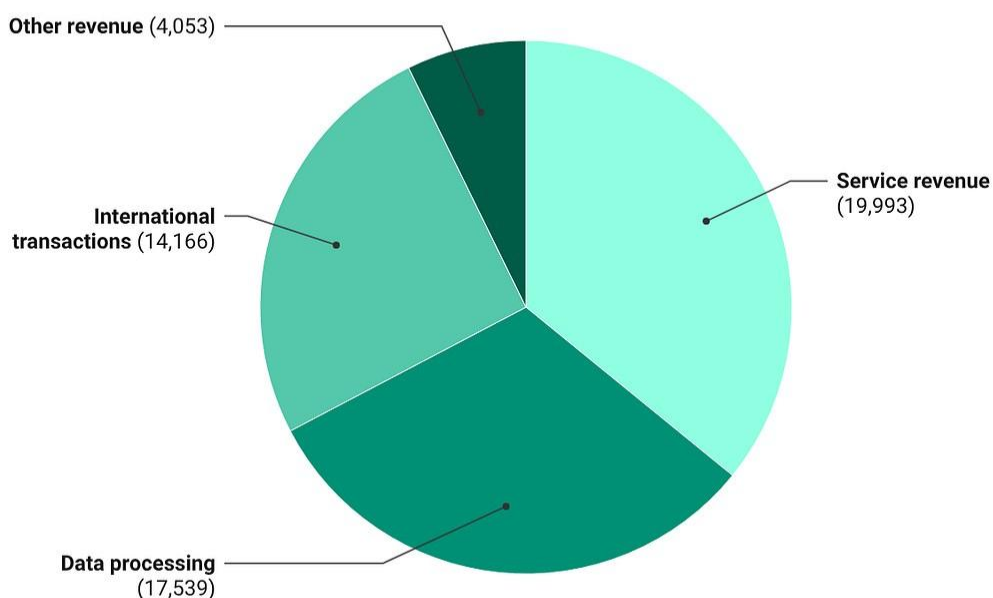


Chart: Hedge & Theory | Russell Lopez • Source: SEC 10-K 2025FY

Data processing is revenue earned by routing and authorizing transactions

For reference, here is market opening price in October 5th, a strong entry point to go long on the equity.

Market Data

As of October 5th, 2026.

NYSE: V

Open	359.49
52 Week Low / High	385.57 / 293.89
Beta 3Y	0.63
Total Shares Outstanding	1,835,605,990
Div. Yield (%)	0.73
Market Cap (\$M)	675,824.50
Total Enterprise Value (\$M)	687,323.3

Table: Hedge & Theory | Russell Lopez

Disagreement with the Market.

In the analysis of Visa, our findings can be organized into four main pillars that demonstrate why we are bullish (followed by the valuation after) but also where we disagree with the market estimates, each pillar will build off each other starting into order of most importance, descending down. Let us begin.

Pillar 1—Cost of capital disagreement with respect to the market.

As of the writing of this report, the current market price is \$359.41 (some figures may be slightly different due to updated market price changes) with a complementary enterprise value of \$675B. Leading as such, there are several discrepancies between the market value and our computed valuation which diverges on three major variables. These are stated as such (market view instead of our view):

- Perpetual growth of **2.29%** instead of **3.00%**
 - WACC of **7.72%** instead of **7.12%**
 - Client incentives¹ at **37.5% of gross by FY2031** instead of **28.5%**

The first parameter is a minor differential in valuation analysis; the perpetual growth rate of 3% was derived from primarily GDP growth estimates from several sources, as real GDP growth is a leading variable of consumer spending which is the main force behind Visa's revenue growth. Therefore, looking at the estimated data, projected GDP growth in the U.S. 43% of Visa's total payment volume for 2025 is expected to peak this decade in 2027 at 2.54% then growth is expected to slump here on after, until 2031. For global GDP, growth is expected to be more strong and stable, as progress in AI continue, productivity gains are expected to boost growth to the point where even supposed estimates are expected to be beaten. As a result, the DCF growth estimate for our model consolidates at a fixed rate of 3% in between both real GDP rates, a slightly higher expectation from the market, nonetheless, a minuscule disagreement.

Projected GDP of Global & US with DCF Growth Rate

Real GDP growth rates in percentage (%)

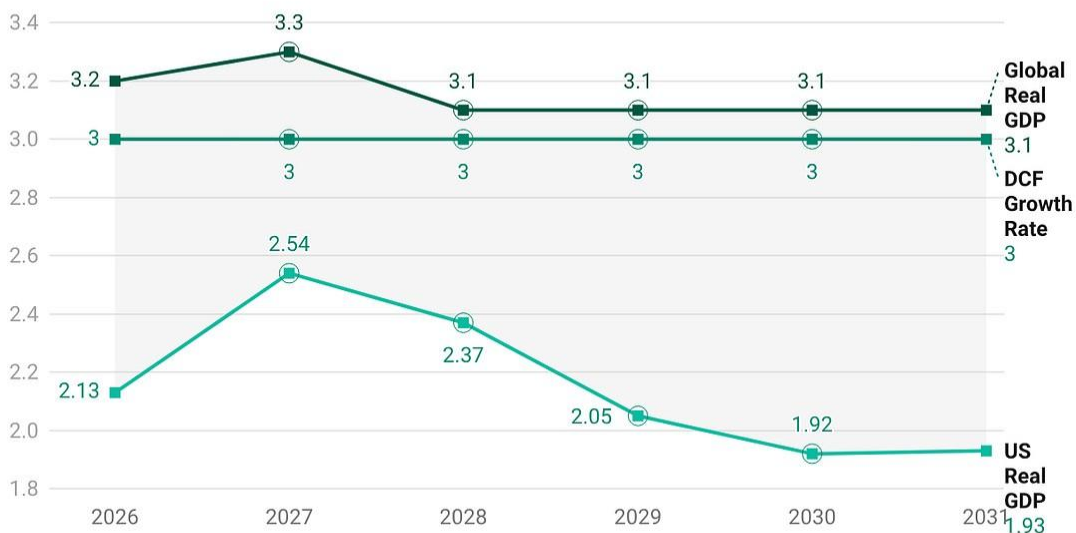


Chart: Hedge & Theory | Russell Lopez • Source: Capital IQ Pro, IMF World Economic Outlook

- 39.08% of revenue comes from US in 2025 FY
- 60.91% of revenue comes from International in 2025 FY

Next, we will discuss the difference in the discount rate using in our DCF valuation for Visa.

Our WACC 7.12% → implied cost of equity $\approx$ 7.26%

Market's WACC 7.72% → implied cost of equity $\approx$ 7.88%

Our weighted cost of capital undershoots the market expectation due to an disagreement fundamentally about risk assessment. The market's valuation of a WACC of 7.72% puts a higher premium on Visa's risk factor. Meaning, that the key difference here is not so much an operational disagreement within the business but a valuation difference. There are several reasons for our lower WACC associated with Visa.

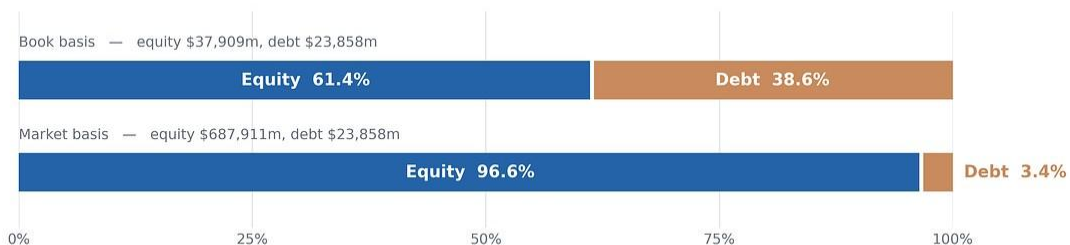
To begin, the firm's lack of physical net asset infrastructure means that the business model is inherently dominated by the intangibles such as proprietary network, brand, and intellectual property. Furthermore, the business is mainly financed through equity, carrying low debt, resulting in the calculation of the WACC to be heavily determined by the investor's required rate of return. This is to say that most of the profit from the business will be returned to investors rather than lenders. More specifically, Visa is 96% equity-financed (market cap method), meaning that it is only 4% leveraged.

Within that slither of 4%, there is an impact by current bond markets continue to climb as yields grow due to the Federal Reserve continuing to raise federal fund rates (with a high probability of the Fed raising rates once more before 2026 concludes). Causing the 10Y treasury to spike to 4.96% (above the historical average of 4.26% which was exactly used for the cost of debt).

Because of this significant ratio difference in the capital structure, this is ultimately to say that Visa's equity risk is the coincided with the business risk which is also less than expected according to our analysis which we will discuss next.

Capital structure — book vs. market basis

Share of total capital



Balance sheet as of Q3 FY2026; market capitalisation as of 6 October 2026. Hedge & Theory | Russell Lopez

On the operational front of the business, client incentives are historically around a quarter of gross revenue², a relatively substantial contrarevenue. Now, the market expects client incentive as a percentage of gross revenue surge to 37.5% by 2031, over a third of gross revenue reduced. This goes against the historical trend of 1.09% average growth rate annually for client incentives. Such an estimation by the market means that a large chunk revenue will continue to fall, being eaten away by greater client incentives. Fundamentally, encapsulating a higher risk on operational income.

In accordance to more conservative estimates, we expect Visa to continue to lead as the dominant payment processor, granting higher bargaining power, incrementally increasing their client incentives that will not drastically eat away at their margins. Climbing no more than 30% of gross revenue, with our estimate being 28.50% for 2031. More on this in the next pillar which also ties in to the next argument.

Lastly, all other major estimates for operations, such as revenue and payment volume align closely with the market expectations and so this will be pushed into the valuation section.

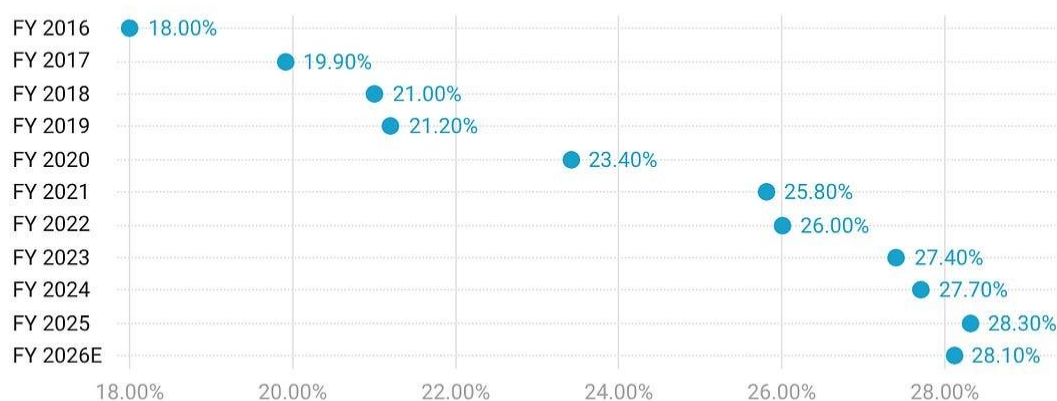
Pillar 2—Client incentives may be plateauing, contrary to market expectations.

There is a profound finding in the estimated fiscal year for 2026³, where, an inflection point occurs, the client incentives 28.1% falls slightly for the first time in nine years. Consistent with our initial estimates, this means that last year, in 2025, \$15.75B of the \$55.75B gross revenue was due to Visa paying out clients, a deduction that is greater than Visa's entire operating expense base (excluding \$2.6B in litigation provision). Meanwhile, all other measures in the 10-year historical data

demonstrates stability; capex 2.9 3.9%, D&A 2.9% 3.5%, and yet client incentives still jumped from 18.04% to 28.25% (from 2016 to 2026E , a 52% surge in nine years versus only a 1.22% increase in capex as % of net revenue in that same time frame.

Historical Client Incentives as % of Gross Revenue

= Client incentives / gross revenue



Gross revenue is the sum of all revenue before any deductions (including the exclusion of contra-revenue)

Chart: Hedge & Theory | Russell Lopez

In the end, client incentives are about bargaining between Visa and the issuers, a higher percentage of client incentives means higher business risk due to reduced operating income. But remember, our disagreements with the market do not lay in the macro conditions, where transaction volume is ultimately driven by nominal consumer spending. Instead, the bottom line is that we are proposing a possible, fundamental mispricing in the cost of capital, entailing to a higher fair value.

In the sensitivity analysis section, we will discuss what it means for the share price if the market is correct and we are not, in other words, if the WACC is higher than our model shows.

Fleshing out why we think that the market's anticipation of a 37.5% of gross revenue by FY2031 is incorrect—this equates to 9.4% rise in five years 1.9% annually). Visa has never escalated at anything close to that pace from a basis of induction. Across FY2016 25, there was a cumulative growth of 9.9% or an average of 1.1% annually, the trajectory within that decade runs the wrong way for the bear risk of higher incentives. Moreover, the rate slowed at 0.5% annually over FY2022 26E. The

market's implied assumption requires the incentives growth to accelerate to roughly four times its recent rate, which seems implausible from our findings.

Finally, as aforementioned, client incentives are the share of bargaining power where Visa concedes to issuers to win over bank portfolios⁴ by paying a agreed upon amount. Visa will only pay for what the portfolio is worth, if hypothetically, contract begin to be priced at 37.5% of gross revenue, incremental volume stops—at which no deal is made and the portfolio is not purchased. The higher the client incentive climbs and compounds (year after year), the less probability of Visa accepting such an agreement. An analogy, is the trade-off between a distributor giving away margin to hold incrementally more shelf space, at a point, the utility of more shelf space is less as profits begin to contract.

Estimated Client Incentives as % of Gross Revenue

= Client incentives / gross revenue



Gross revenue is the sum of all revenue before any deductions (including the exclusion of contra-revenue)

Chart: Hedge & Theory | Russell Lopez

Pillar 3—Demonstrated durability justifies the low discount rate.

From the 10-year historical data including the COVID 19 pandemic (which introduced demand shock to consumer spending in 2020 , the most relevant results are as stated:

- Operating margin stayed in a **64.5 67.2% band — 2.7 points** of variation across a decade
- Free cash flow converts at **55% of net revenue**
- Capex runs **3.4% of net revenue** — there is no physical network to maintain
- Working capital is negative and funds growth, because client incentive liabilities **\$10.4B exceed** operating current assets **\$5.8B**

Throughout the pandemic business cycle, Visa's operating margins stayed relatively stable despite the downward pressure on consumer spending in 2020. Further, the lack of tangible capital to maintain paired with a net cash outflow entail excess growth of cash can be handover to the owners, rather than be spent on capex. Hence, a change in net working capital is not be largely determined by capex or D&A costs, but rather, client incentives as a % of gross revenue. This is presumed to be accurate if Visa can maintain a low rate for client incentives in the upcoming years.

Operating Margin %

= Operating income / net revenue



Chart: Hedge & Theory | Russell Lopez

Pillar 4—Revenue growth independent of payment volume.

It is clear that payment volume is the propulsion behind of Visa's cash flows, which includes international transaction (cross-border fees), service revenue (fees charged to issuers), and data processing (network fees), which are indexed to economic performance. This means that in times of economic crisis, it will be very difficult for Visa to hedge against major losses, constricting free cash flows. This is where valueadded services come into play. Where, in the revenue growth projection calculations; there was surprising growth for this under-looked stream of revenue, that has experienced significant growth, 26.78% in 2025 alone with an averaging growth rate of 19.85% for the last 10 years.

Historically, value-added revenue has counted for a fraction of net revenue, with the ratio trending at 5.43% in 2016 to 10.13% in 2025, and an estimated of 12.02% for 2026. Despite still being only one tenth of net operating revenue, if estimated growth continues then Visa could possibly be building a concrete hedge impervious to the economics of commerce. Another possibility for value-added services if they continue to grow, is to noticeably offset a significant amount of client incentives, expanding cash flows.

Diversified Revenue Growth

Other revenue—value added services: issuing solutions, accepting solutions, risk & security solutions, and advisory & other solutions.

FY	Other Revenue Growth Rate
2017	2.19%
2018	12.25%
2019	39.09%
2020	9.06%
2021	16.97%
2022	18.87%
2023	24.51%
2024	28.96%
2025	26.78%
2026E	34.96%
2027E	26.00%
2028E	23.25%
2029E	21.19%
2030E	19.64%
2031E	15.00%

Table: Hedge & Theory | Russell Lopez

Valuation Summary

In the methodology, unlevered cash flow was computed in accordance to the standard valuation literature, using earnings before taxes and interest EBIT as the source of cash flow and an effective tax rate of 17.5% across the board (flat rate) rather than an average of the historical 10-years distorted by the FY2017 TCJA re-measurement⁵. In addition, fiscal years during COVID 19 2020 2022 were cut as outliers in cash flow projections (due to unprecedented metrics caused by global lock downs).

Visa is minimally leveraged, so, much of the unlevered cash flow will be returned to equity holders. In our model, from 2027 to 2031, cash flow is expected to nominally grow at a steady 8% rate; reaching 8.62% growth in 2028 and then dwindling to 7.03% in the final year, 2031.

DCF Valuation Summary

VISA Inc. cash flow estimates from 2027-2031.

US\$M	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Unlevered FCF	27,716	30,106	32,615	35,223	37,699
Discount factor @ 7.12%	0.93	0.87	0.81	0.76	0.71
PV of FCF	25,873	26,235	26,532	26,748	26,724

Table: Hedge & Theory | Russell Lopez

The five explicit forecast years contribute \$132.1B of present value, distributed where each year adds between \$25.9B and \$26.7B, the 8% nominal cash flow each year nearly cancelled by the 7.12% discount rate. The remaining \$667.5B goes to the terminal value.

Other notable details in computing the value per share: Visa's small amount of debt resulted in—\$23.9B of borrowings against \$13.9B of cash and investment securities, the exclusion of the U.S. covered litigation escrow⁶ from cash; acting as

a liability shield and not diluting to common Class A shareholders' wealth. The last step was to divide the equity value, \$789.7B by 1,914M as-converted Class A shares gives the target price of **\$412.61**, around 14.8% above the current market price.

Discounted Cash Flow Summary (Units in Billions)

(USD in Billions, except per share data)

PV of explicit FCF (FY2027-2031)	132,112
Terminal value (g = 3.0%)	941,675
PV of terminal value	667,539
Enterprise value	799,651
Less: total debt	(23,858)
Plus: cash and equivalents	12,359
Plus: investment securities	1,583
Equity value	789,735
As-converted shares (M)	1,914
Value per share	\$412.61

Balance sheet as of Q3 FY2026; litigation escrow excluded as restricted; share count on an as-converted Class A basis.

Table: Hedge & Theory | Russell Lopez

All other important assumptions can be viewed in the key assumptions table below, where much are aligned with market consensus. Service yields, cross-border yields, and data processing yields⁷ held flat at FY2026 levels, since ten years of history show no persistent trend in any of the three. Operating cost ratios⁸ hold at FY2026 levels; capex and D&A sit near their decade averages. Total payments volume fades from 7.2% to 5.8%, converging on nominal consumer spending growth.

Due to the inherent nature of the capital structure, debt makes up only 3.4% of the WACC, so the 7.12% discount rate is highly affected by the equity side, more

specifically, the 5Y monthly beta 0.76 and the market risk premium 50Y S&P500 3.06% . The 3.0% terminal growth rate assumes Visa’s residual conversion premium above nominal consumer spending has largely decayed by FY2031. Neither is precise, and both are stress-tested in the sensitivity analysis.

The 17.5% effective tax rate is the FY2022 25 average rather than the ten-year average of 22.1%, which is distorted by the FY2017 TCJA remeasurement.

Key Assumptions for DCF Model

	FY2025A	FY2027E	FY2031E	Basis
Payments volume growth	7.00%	7.20%	5.80%	Fades toward nominal consumer spend
International volume growth	5.90%	8.90%	6.00%	More cash conversion runway
Processed txn growth	10.20%	7.70%	7.00%	Ticket-size mix
Incentives % of gross	28.30%	28.10%	28.50%	Plateau case
Operating margin	66.40%	65.10%	65.10%	Within 10-yr band
CapEx % of net revenue	3.70%	3.60%	3.60%	10-yr avg 3.4%
Effective tax rate	17.10%	17.50%	17.50%	4-yr cluster
WACC / terminal g	-	-	7.12% / 3.0%	CAPM, market weights

Table: Hedge & Theory | Russell Lopez

The three diagnostics stated below, exist to confirm the model’s robustness. The implied exit multiple of 20.1x is close to where Visa trades today, so no re-rating is embedded on top of the growth forecast. Free cash flow converts at roughly 55% of net revenue across the forecast, consistent with the last decade. Terminal value is 83.5% of enterprise value—with capex at only 3.6% of revenue and a ten-year

operating margin band of 2.7% means this valuation is precise with respect to its limitations.

Implied exit multiple = 20.1x

Terminal value as % of EV = 83.5%

FCF as % of net revenue = 55%

The lower block reverses the valuation—holding everything else constant, what does the current price imply?

Visa at \$359.41 is priced for its 2.29% perpetual growth and a 7.72% WACC. At the current market price of \$359, the market believes that client incentives will reach 37.5% of gross revenue by FY2031, against a decade-long trend that extrapolates to roughly 32%. Therefore, the market is discounting the required return, not the cash flows.

Reverse DCF Summary

Key findings that highlight the difference of opinions for WACC, terminal growth, & client incentives as a % of gross revenue.

Valuation metrics	Market implies	Our estimate
Terminal growth	2.29%	3.00%
WACC	7.72%	7.12%
FY2031 incentives (% of gross)	37.50%	28.50%

Table: Hedge & Theory | Russell Lopez

It is clear that the market values Visa as a riskier investment than our model suggests. A 0.6% difference in WACC and 0.62% higher cost of equity implies a greater premium demanded by investors. This is demonstrated further by a 9%

difference in client incentives for FY 2031E, signalling the less income and therefore less cash flows pouring back to owners.

Market-implied terminal growth 2.29% (vs. our 3.00%)

Market-implied WACC 7.72% (vs. our 7.12%)

Market-implied cost of equity 7.88% (vs. our 7.26%)

Market-implied FY2031 incentives 37.5% (vs. our 28.5%)

For reference, our estimates for projected revenue and EBIT for the next five years are shown below. Not much of showcase as these projections line up similarly with other equity research. The main variable behind estimated revenue is total payment volume expected to peak at 7.2% in 2027 and drag down to 5.8% in 2031 as economic growth slows in the U.S. but expand globally.

VISA Inc. Estimated Revenue & EBIT

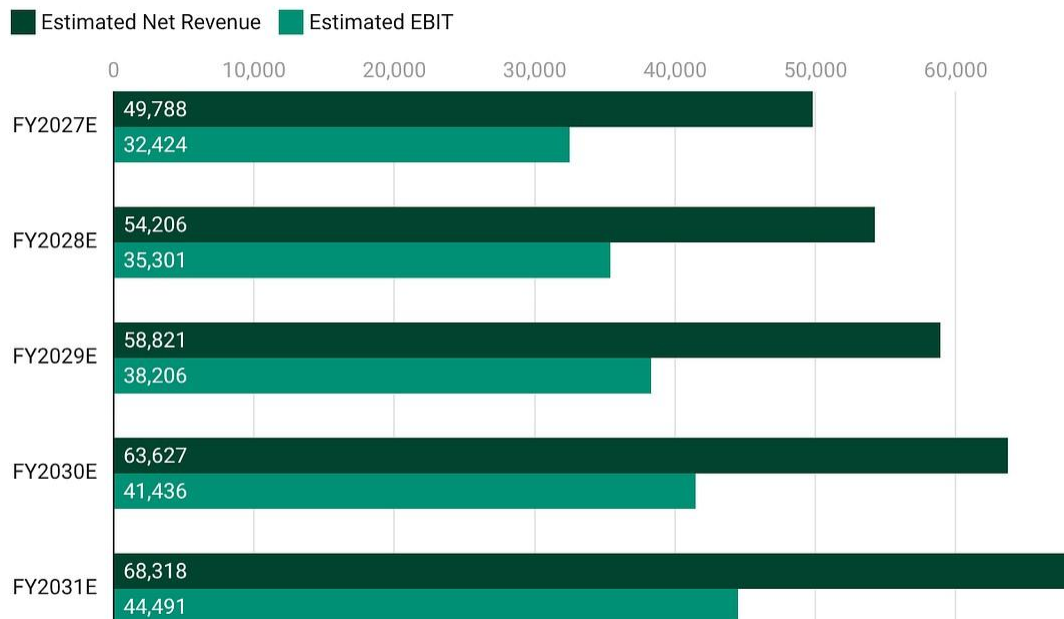
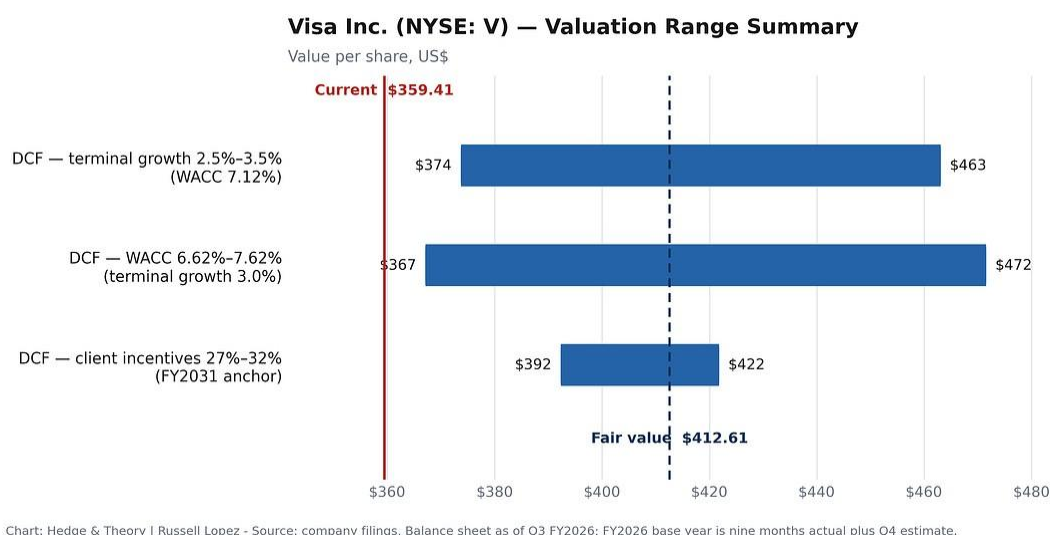


Chart: Hedge & Theory | Russell Lopez

The valuation range states our projected fair price alongside bear and bull price ranges.



Bear Risks and Sensitivity Analysis.

There are various bearish elements that have been hinted throughout the analysis or some that you as the reader, may have thought of. It is true that many of these situations could derail the investment thesis; the biggest risk is if the weighted cost of capital increases too much than expected, signalling uncertainty around Visa being able to deliver adequate profits back to its owners. The second biggest risk is a slumping terminal growth rate, that may be due to unprecedented macroeconomic stagnation near the end of the decade or even downwards pressure to GDP, due to some unexpected event. In any case, the former risk factor is not only more plausible but has a greater magnitude effect on the share price, as investors will demand a higher premium to compensate for the business risk.

The following matrix (WACC x Terminal growth rate) explores and quantifies exactly what occurs to the share price if WACC is less or more than expected, same with the terminal growth. In the most bearish scenario occurs if terminal growth falls to 2% and subsequently, the WACC jumps to 8.12%, for such conditions to happen, there hypothetically would be high interest rates, extreme market risk, economic stagnation, productivity drag, and even de-dollarization (both China and Russia typically reject using Western payment processors). These scenarios become

seemingly more far-fetched and so it's best we focus on the most pragmatic outcomes in the second matrix.

Sensitivity — WACC vs. terminal growth

Value per share, US\$

		Terminal growth rate				
		2.00%	2.50%	3.00%	3.50%	4.00%
WACC	6.12%	\$428	\$480	\$549	\$644	\$784
	6.62%	\$380	\$420	\$472	\$539	\$632
	7.12%	\$342	\$374	\$413	\$463	\$529
	7.62%	\$311	\$336	\$367	\$406	\$455
	8.12%	\$284	\$305	\$330	\$361	\$398

Shaded relative to the current share price of \$359.41 — blue implies upside, red implies downside. Base case outlined. Hedge & Theory | Russell Lopez

The biggest, most probable threat that may drive WACC to rise is ongoing litigation that may drag on towards the future. For instance, there is currently an monopoly lawsuit filed against Visa from the U.S. Department of Justice, claiming an illegal monopolization of the debit card market. This not to mention numerous secondary antitrust laws, mainly around alleged unjustified inflated transaction costs. Although, litigation is no stranger to the industry, historically in the last 20 years, there has been continuous a legal onslaught against Visa and other competitors like Mastercard from a cumulative amount in the millions of merchants, mainly claiming unfair fees that bite into their profit margins. Going to trial is of course costly and timely, so in cases like 2024, there was a \$38 billion settlement from Visa and Mastercard ordered by a U.S. district federal judge.

Even in 2025, Visa spent \$2.5B in litigation provisions, but, a significant amount \$1.375B goes to fund their escrow account—that adjusts the conversion rate of Class B shares into Class A shares, to prevent taking cash out of the business to spend on litigation. Rather, relying on dilution of Class B shares to maintain the wealth of Class

A shareholders. This liability shield for public shareholders should insulate idiosyncratic risk for foreseeable litigation battles.

Next, moving away from exogenous factors and focusing on the operational risk, a climb in client incentives will reduce the total earnings of the company if bargaining power was to be reduce on Visa’s behalf, forcing higher fees to be paid out to issuers. Resulting in a marginally reduced share price, in contrast, to the discount rate has a higher magnitude affect it it were to rise, similar to the last matrix. But the difference here is that, if client incentives continue to rise and stay elevated 30 32%, then the WACC will also follow suit. This is because investors would need to compensated a higher premium for taking on more risk, as cash flows and margins will begin to get squeezed.

At last, the positively correlated variables of WACC and client incentives compound each other and possible bear scenario, if both factors were to rise in the future.

Sensitivity — WACC vs. client incentives

Value per share, US\$

		Client incentives, % of gross revenue (FY2031 anchor)				
		27.00%	28.00%	28.50%	30.00%	32.00%
WACC	6.12%	\$561	\$553	\$549	\$537	\$521
	6.62%	\$482	\$475	\$472	\$461	\$448
	7.12%	\$422	\$416	\$413	\$404	\$392
	7.62%	\$375	\$370	\$367	\$359	\$349
	8.12%	\$337	\$332	\$330	\$323	\$314

Shaded relative to the current share price of \$359.41 — blue implies upside, red implies downside. Base case outlined. Hedge & Theory | Russell Lopez

Ultimately, the uncertainty around imposed and excess regulations on the payment processing industry presents the biggest hurdle—in the form of capped transaction fees, higher rates, settlements & law suits, and continuous legal pressure will threaten operation margins. Disruptions like a wide-array adoption of

cryptocurrency or abandonment of the traditional payment processing system seem unlikely but should still be considered.

What to Watch Out For.

The results for the fiscal year 2026 will be filed officially near the end of October. The 10 K filing, will either strengthen or weaken the probability of our projections. Here are several indicators we will keep a closeeye on:

- Total Payment volume—when Visa’s 10 K 2026 FY SEC filing for the last quarter of 2026 is published.
 - GDP & consumer spending data—mainly on U.S. and Europe—published—U.S. Bureau of Economic Analysis BEA , Eurostat, IMF.
 - Federal Reserve possible rate hikes—not only can affect Visa’s minimal debt but can trigger reduced spending in the economy.
- Value-added/other revenue growth rate YoY%
- Client incentives % of gross revenue for FY 2026 Share Price—
- change in price for YTD

Closing Thoughts.

Kind reminder that this report is not financial or investment advice, rather an opinion-based valuation based off publicly available information, therefore, I bear no responsibility for any potential financial losses.

If you are interested in more equity reports like this one, please make sure to subscribe with your email, this work will remain free for the foreseeable future.

For those curious, the appendix that holds proof and work of the full valuation can be found on my [website](#), where, you can also find my other research or inquiry me about a concern, *thank you very much for reading!*

- 1 Client incentives are a contra-revenue where Visa pays financial institutions like banks to continue use their cards and network (also includes rebates)
- 2 Gross revenue should not be confused with net revenue, where, gross revenue —is total revenue excluding any deductions (including contra-revenue). While, net revenue—refers to total revenue before any operating expenses (including contra-revenue)
- 3 The official data for the fiscal year of 2026 has not been released yet, therefore, the following results were calculated using the reported Q4 for 2025 multiplied by the Q3 2026 YTD, 9 months) YoY growth rates to get the Q4 2026 estimations, which are then added to Q3 2026.
- 4 Bank portfolios range in value, (like higher-value portfolios encompassing an affluent customer base) and can be purchased by Visa (or competitors like MasterCard) through a bidding process. The winner pays cash rebates, and the more volume the portfolio forwards through the Visa Network, the higher the incentive payout the bank receives.
- 5 The TCJA means Tax Cuts and Jobs Act and was a permanent cut of the top federal corporate tax rate from 35% to 21%, it caused the future value of accounting balances recorded under deferred taxes.
- 6 Litigation escrows are
- 7 $\text{Service yield} = \text{service revenue} / \text{total payment volume}$, $\text{cross-border yield} = \text{international revenue} / \text{international payment volume}$, $\text{data processing yield} = \text{data processing revenue} / \text{visa processed transactions}$
- 8 Operating cost ratios are every operating expense as as ratio of net revenue (e.g. $\text{marketing} / \text{net revenue} = \text{marketing \% of net revenue}$)

Appendix:

Financial history

Income Statement										
Fiscal Year	2016 FY	2017 FY	2018 FY	2019 FY	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY
Period Ending	9/30/2016	9/30/2017	9/30/2018	9/30/2019	9/30/2020	9/30/2021	9/30/2022	9/30/2023	9/30/2024	9/30/2025
Currency	USD	USD	USD	USD	USD	USD	USD	USD	USD	USD
Units	Millions	Millions	Millions	Millions	Millions	Millions	Millions	Millions	Millions	Millions
Revenue										
Service revenue	6,747	7,975	8,918	9,700	9,804	11,475	13,361	14,826	16,114	17,539
Data processing revenue	6,272	7,786	9,027	10,333	10,975	12,792	14,438	16,007	17,714	19,993
International transaction revenue	4,649	6,321	7,211	7,804	6,299	6,530	9,815	11,638	12,665	14,166
Other revenues	823	841	944	1,313	1,432	1,675	1,991	2,479	3,197	4,053
Clients incentives	(3,409)	(4,565)	(5,491)	(6,173)	(6,664)	(8,367)	(10,295)	(12,297)	(13,764)	(15,751)
Net operating revenue	15,082	18,358	20,609	22,977	21,846	24,105	29,310	32,653	35,926	40,000
Net revenues	15,082	18,358	20,609	22,977	21,846	24,105	29,310	32,653	35,926	40,000
Revenue growth rate		21.72%	12.26%	11.49%	-4.92%	10.34%	21.59%	11.41%	10.02%	11.34%
Other revenue growth rate		2.19%	12.25%	39.09%	9.06%	16.97%	18.87%	24.51%	28.96%	26.78%
Expense										
Personnel	2,226	2,628	3,170	3,444	3,785	4,240	4,990	5,831	6,264	6,961
Marketing	869	922	988	1,105	971	1,136	1,336	1,341	1,560	1,684
Networking and processing	538	620	686	721	727	730	743	736	778	894
Professional fees	389	409	446	454	408	403	505	545	635	759
Depreciation and Amortization	502	556	613	656	767	804	861	943	1,034	1,220
General and administrative	796	1,060	1,145	1,196	1,096	985	1,194	1,330	1,598	1,926
Litigation provision	2	19	607	400	11	3	868	927	462	2,562
Visa Europe framework agreement loss	1,877	-	-	-	-	-	-	-	-	-
Total operating expenses	7,199	6,214	7,655	7,976	7,765	8,301	10,497	11,653	12,331	16,006
Non-Operating Income (Expense)										
Interest expense	(427)	(563)	(612)	(533)	(516)	(513)	(538)	(644)	(641)	(589)
Investment income and other	556	113	464	416	225	772	(139)	681	962	789
Total non-operating income	129	(450)	(148)	(117)	(291)	259	(677)	37	321	200
Income before taxes	8,012	11,694	12,806	14,884	13,790	16,063	18,136	21,037	23,916	24,194
Income tax provision	2,021	4,995	2,505	2,804	2,924	3,752	3,179	3,764	4,173	4,136
Effective tax rate	25.22%	42.71%	19.56%	18.84%	21.20%	23.36%	17.53%	17.89%	17.45%	17.10%
Net income	5,991	6,699	10,301	12,080	10,866	12,311	14,957	17,273	19,743	20,058
Net income growth rate		11.82%	53.77%	17.27%	-10.05%	13.30%	21.49%	15.48%	14.30%	1.60%

Operating Metrics										
Fiscal year	2016 FY	2017 FY	2018 FY	2019 FY	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY
Units	Billions	Billions	Billions	Billions	Billions	Billions	Billions	Billions	Billions	Billions
Nominal payments volume										
US nominal payments volume	2,850	3,188	3,499	3,875	4,007	4,725	5,548	6,045	6,388	6,788
Cash volume	520	544	562	573	635	635	631	608	604	599
US total volume	3,369	3,732	4,061	4,448	4,580	5,359	6,179	6,653	6,991	7,387
Cross-border volume										
International nominal payments volume	2,321	3,974	4,562	4,744	4,707	5,243	5,922	6,029	6,600	7,106
Cash volume	1,775	2,348	2,435	2,260	2,045	1,927	1,929	1,844	1,898	1,891
International total volume	4,096	6,322	6,998	7,004	6,753	7,169	7,851	7,873	8,499	8,996
VISA Inc. Total volume	7,465	10,054	11,059	11,452	11,333	12,528	14,030	14,526	15,490	16,383
Processed transactions										
Visa processed transactions	83,159	111,215	124,320	138,329	140,839	164,734	192,530	212,579	233,758	257,545
Percentage Growth rates										
US Payments volume growth		10.77%	8.82%	9.53%	2.97%	17.01%	15.30%	7.67%	5.08%	5.66%
International Cross-border volume growth		54.35%	10.69%	0.09%	-3.58%	6.16%	9.51%	0.28%	7.95%	5.85%
Total payments volume (excluding cash)		38.50%	12.55%	6.92%	1.10%	14.39%	15.07%	5.27%	7.57%	6.98%
Processed transactions growth		33.74%	11.78%	11.27%	1.81%	16.97%	16.87%	10.41%	9.96%	10.18%
VISA total volume growth rate		34.68%	10.00%	3.55%	-1.04%	10.54%	11.99%	3.54%	6.64%	5.77%

Historical Yields										
Service yield	0.1305%	0.1114%	0.1106%	0.1125%	0.1125%	0.1151%	0.1165%	0.1228%	0.1241%	0.1262%
Cross-border yield	0.1135%	0.1000%	0.1030%	0.1114%	0.0933%	0.0911%	0.1250%	0.1478%	0.1490%	0.1575%
Data processing yield	0.0075%	0.0070%	0.0073%	0.0075%	0.0078%	0.0078%	0.0075%	0.0075%	0.0076%	0.0078%

2026 FY Estimation

Fiscal quarter	2025 Q3	FY 2025	2025 Q4	2025 FQ3 YTD (9M)	2026 FQ3 YTD (9M)	YoY Growth rates	2026 Q4E	FY 2026E
Currency Units	USD Millions	USD Millions	USD Millions	USD Millions	USD Millions		USD Millions	USD Millions
Revenue								
Service revenue	4,330	17,539	13,209	12,937	14,663	13.3416%	4,908	19,571
Data processing revenue	5,153	19,993	14,840	14,599	17,129	17.3300%	6,046	23,175
International transaction revenue	3,633	14,166	10,533	10,366	11,136	7.4281%	3,903	15,039
Other revenues	1,028	4,053	3,025	2,877	4,030	40.0765%	1,440	5,470
Clients incentives	(3,972)	(15,751)	(11,779)	(11,503)	(13,194)	14.7005%	(4,556)	(17,750)
Net operating revenue	10,172	40,000	29,828	29,276	33,764	15.3300%	11,731	45,495
Net revenues	10,172	40,000	29,828	29,276	33,764	15.3300%	11,731	45,495
Revenue growth rate								13.74%
Other revenue growth rate								34.96%
Expense								
Personel	1,749	6,961	5,212	5,219	6,063	16.1717%	2,032	8,095
Marketing	421	1,684	1,263	1,108	1,604	44.7653%	609	2,213
Networking and processing	224	894	670	655	773	18.0153%	264	1,037
Professional fees	187	759	572	503	692	37.5746%	257	949
Depreciation and Amortization	317	1,220	903	904	1,026	13.4956%	360	1,386
General and administrative	482	1,926	1,444	1,382	1,468	6.2229%	512	1,980
Litigation provision	615	2,562	1,947	1,659	1,290	-22.2423%	478	1,768
isa Europe framework agreement loss	-	-	-	-	-		-	-
Total operating expenses	3,995	16,006	12,011	11,430	12,916	13.0009%	4,514	17,430
Non-Operating Income (Expense)								
Interest expense	(39)	(589)	(550)	(379)	(566)	49.3404%	(58)	(624)
Investment income and other	195	789	594	504	451	-10.5159%	174	625
Total non-operating income	156	200	44	125	(115)	-192.0000%	(144)	(259)
Income before taxes	6,333	24,194	17,861	17,971	20,733	15.3692%	7,306	28,039
Income tax provision	1,061	4,136	3,075	3,003	3,231	7.5924%	1,142	4,373
Effective tax rate	16.75%	17.10%	17.22%	16.71%	15.58%	-6.7408%	15.62%	15.59%
Net income	5,272	20,058	14,786	14,968	17,502	16.9294%	6,165	23,667
Net income growth rate								17.99%

Operating Metrics								
Fiscal year	2025 Q3	2025 FY	2025 Q4	2025 FQ3 YTD (9M)	2026 FQ3 YTD (9M)		2026 Q4E	
Units	Billions	Billions	Billions	Billions	Billions		Billions	
Nominal payments volume								
US nominal payments volume	1,654	6,788	5,134	5,024	5,398	7.4443%	1,777	7,175
Cash volume	145	599	454	445	447	0.4494%	146	593
US total volume	1,799	7,387	5,588	5,469	5,845	6.8751%	1,923	7,768
Cross-border volume								
International nominal payments volume	1,692	7,106	5,414	5,256	5,932	12.8615%	1,910	7,842
Cash volume	453	1,891	1,438	1,412	1,482	4.9575%	475	1,957
International total volume	2,145	8,996	6,851	6,668	7,414	11.1878%	2,385	9,799
VISA Inc. Total volume	3,944	16,383	12,439	12,137	13,259	9.2445%	4,309	17,568
Processed transactions								
Visa processed transactions	64,443	257,545	193,102	189,891	207,148	9.0878%	70,299	277,447
Percentage Growth rates								
US Payments volume growth								5.15%
International Cross-border volume growth								8.93%
US total payments volume (excluding cash)								7.22%
Processed transactions growth								7.73%
VISA total volume growth rate								7.23%
Historical Yields								
Service yield	0.1294%	0.1262%	0.1252%	0.1258%	0.1294%		0.1331%	0.1303%
Cross-border yield	0.1694%	0.1575%	0.1537%	0.1555%	0.1502%		0.1636%	0.1535%
Data processing yield	0.0080%	0.0078%	0.0077%	0.0077%	0.0083%		0.0086%	0.0084%

Other important (partial balance sheet & cash flow)								
Fiscal year	2025 Q3	2025 FY	2025 Q4	2025 FQ3 YTD (9M)	2026 FQ3 YTD (9M)		2026 Q4E	
Cash flow - Operating								
Depreciation and amortization	904	1,220	316	904	1026	13.4956%	359	1,385
Cash flow - Investing								
Purchase of property, equipment, & tech.	(1,093)	(1,482)	(389)	(1,093)	(1,178)	7.7768%	(419)	(1,597)
Balance sheet								
Assets								
Accounts receivable	2,920	3,126	3,126	2,920	3,527	20.7877%	3,527	3,527
Prepaid expenses & other current assets	3,012	2,679	2,679	3,012	3,562	18.2603%	3,562	3,562
Net property, equipment & tech.	4,143	4,236	4,236	4,143	4,858	17.2580%	4,858	4,858
Cash and equivalents	17,092	17,164	17,164	17,092	12,359	-27.6913%	12,359	12,359
Investment securities	-	999	999	2,088	1,433	-31.3697%	-	-
total current assets	38,398	37,766	37,766	38,398	31,002	-19.2614%	31,002	31,002
Liabilities								
Accounts payable	462	555	555	462	553	19.6970%	553	553
Accrued liabilities	4,907	5,466	5,466	4,907	5,409	10.2303%	5,409	5,409
Client incentive liability	10,032	10,369	10,369	10,032	11,429	13.9254%	11,429	11,429
Total debt- short-term & long-term								
current debt	-	5,179	5,179	-	-	-	-	-
total current liabilities	34,427	35,048	35,048	34,427	31,467	-8.5979%	31,467	31,467
NWC = (AR + prepaid) - (AP + accrue	(9,469)	(10,585)	(10,585)	(9,469)	(10,302)		(10,302)	(10,302)
NWC % = NWC / net revenue	-93.09%	-26.46%	-35.49%	-32.34%	-30.51%		-87.82%	-22.64%
Client incentives as % of gross revenue	28.08%	28.25%	28.31%	28.21%	28.10%		27.96%	28.06%
CapEx as % of net revenue	10.75%	3.71%	1.30%	3.73%	3.49%		3.57%	3.51%
Personnel as % of net revenue	17.19%	17.40%	17.47%	17.83%	17.96%		17.32%	17.79%
Marketing % of net revenue	4.14%	4.21%	4.23%	3.78%	4.75%		5.20%	4.87%
Networking and processing % of net revenue	2.20%	2.24%	2.25%	2.24%	2.29%		2.25%	2.28%
Professional fees % of net revenue	1.84%	1.90%	1.92%	1.72%	2.05%		2.19%	2.09%
Depreciation and Amortization % of net revenue	3.12%	3.05%	3.03%	3.09%	3.04%		3.07%	3.05%
General and administrative % of net revenue	4.74%	4.82%	4.84%	4.72%	4.35%		4.36%	4.35%
Effective tax rate	16.75%	17.10%	17.22%	16.71%	15.58%		15.62%	15.59%
Depreciation % of PPT	21.82%	28.80%	7.46%	21.82%	21.12%		7.38%	28.50%

DCF Assumptions

	FY 2018	FY 2019	FY 2023	FY 2024	FY 2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue Drivers											
<i>Total payments volume (excluding cash) growth rate</i>	12.55%	6.92%	5.27%	7.57%	6.98%	7.22%	7.20%	6.85%	6.50%	6.15%	5.80%
<i>International volume growth</i>	10.69%	0.09%	0.28%	7.95%	5.85%	8.93%	8.90%	8.18%	7.45%	6.73%	6.00%
<i>Processed transaction growth</i>	11.78%	11.27%	10.41%	9.96%	10.18%	7.73%	7.70%	7.53%	7.35%	7.18%	7.00%
<i>Other revenue growth</i>	12.25%	39.09%	24.51%	28.96%	26.78%	34.96%	26.00%	23.25%	21.19%	19.64%	15.00%
<i>Service yield</i>	0.11%	0.11%	0.12%	0.12%	0.13%	0.13%	0.13%	0.13%	0.13%	0.13%	0.13%
<i>Cross-border yield</i>	0.10%	0.11%	0.15%	0.15%	0.16%	0.15%	0.15%	0.15%	0.15%	0.15%	0.15%
<i>Data processing yield</i>	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%
OpEx % of net revenue											
<i>Personnel</i>	15.38%	14.99%	17.86%	17.44%	17.40%	17.79%	17.79%	17.79%	17.79%	17.79%	17.79%
<i>Marketing</i>	4.79%	4.81%	4.11%	4.34%	4.21%	4.87%	4.87%	4.87%	4.87%	4.87%	4.87%
<i>Network & Procesing</i>	3.33%	3.14%	2.25%	2.17%	2.24%	2.28%	2.28%	2.28%	2.28%	2.28%	2.28%
<i>Professional fees</i>	2.16%	1.98%	1.67%	1.77%	1.90%	2.09%	2.09%	2.09%	2.09%	2.09%	2.09%
<i>DnA</i>	2.97%	2.86%	2.89%	2.88%	3.05%	3.05%	3.05%	3.05%	3.05%	3.05%	3.05%
<i>General and admin.</i>	5.56%	5.21%	4.07%	4.45%	4.82%	4.35%	4.35%	4.35%	4.35%	4.35%	4.35%
<i>Litigation</i>	-	-	-	-	-	-	-	-	-	-	-
Client incentives % of gross revenue	21.04%	21.18%	27.36%	27.70%	28.25%	28.06%	28.06%	28.17%	28.28%	28.39%	28.50%
CapEx as % of net revenue	3.48%	3.29%	3.24%	3.50%	3.71%	3.51%	3.51%	3.53%	3.56%	3.58%	3.60%
Working capital											
<i>NWC as % of net revenue</i>	-	-	-26.62%	-23.91%	-26.46%	-22.64%	-22.64%	-22.64%	-22.64%	-22.64%	-22.64%
Tax											
<i>Effective tax rate</i>	19.56%	18.84%	17.89%	17.45%	17.10%	17.50%	17.50%	17.50%	17.50%	17.50%	17.50%
Extra											
Expected client incentive % of gross revenue according to market						28.37	28.68	28.99	29.30	29.62	29.95

DCF Model B

WACC

Assumptions

Cost of debt	%	4.15%
Tax rate	m	22.09%
% Equity / Total Capital	%	96.00%
% Debt / Total Capital	%	4.00%

CAPM

Beta (5Y Monthly)	#	0.76
Market risk premium (50Y S&P500)	%	3.06%
Risk-free rate (10Y US YTM)	%	4.96%
Cost of equity	%	7.29%

WACC

Target % Debt / Total Capital	4.00%
Target % Equity / Total Capital	96.00%
Tax Rate	22.09%
Cost of Equity	7.29%
Cost of Debt	4.15%
WACC	7.12%

lock

Model Block						
Fiscal year	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Currency	USD	USD	USD	USD	USD	USD
Units	Billions	Billions	Billions	Billions	Billions	Billions
Volumes						
<i>Total payments volume</i>	15,017	16,098	17,201	18,319	19,446	20,573
<i>Total international volume</i>	9,799	10,671	11,543	12,403	13,238	14,032
<i>Processed transactions</i>	277,447	298,810	321,296	344,911	369,659	395,535
Currency	USD	USD	USD	USD	USD	USD
Units	Millions	Millions	Millions	Millions	Millions	Millions
Revenue						
<i>Service revenue</i>	19,571	20,980	22,417	23,874	25,343	26,813
<i>Data processing revenue</i>	23,175	24,959	26,838	28,810	30,877	33,039
<i>International revenue</i>	15,039	16,377	17,716	19,036	20,316	21,535
<i>Other revenue</i>	5,470	6,892	8,495	10,294	12,316	14,164
<i>Gross revenue</i>	63,255	69,209	75,466	82,015	88,853	95,550
<i>Client incentives</i>	(17,750)	(19,421)	(21,259)	(23,194)	(25,225)	(27,232)
<i>Net revenue</i>	45,495	49,788	54,206	58,821	63,627	68,318
Costs						
<i>Personel</i>	8,095	8,859	9,645	10,466	11,321	12,156
<i>Marketing</i>	2,213	2,422	2,637	2,862	3,096	3,324
<i>Networking and processing</i>	1,037	1,135	1,236	1,341	1,451	1,558
<i>Professional fees</i>	949	1,039	1,131	1,227	1,328	1,425
<i>General and adminstrative</i>	1,980	2,167	2,359	2,560	2,769	2,973
<i>Litigation provision</i>	1,768	-	-	-	-	-
<i>Total operating expenses (excluding DnA)</i>	16,043	15,622	17,008	18,456	19,964	21,436
<i>DnA</i>	1,386	1,743	1,897	2,059	2,227	2,391
<i>EBIT</i>	28,066	32,424	35,301	38,306	41,436	44,491
<i>EBIT margin %</i>	61.69%	65.12%	65.12%	65.12%	65.12%	65.12%
Free cash flow						
<i>Net Operating profit after tax</i>	23,155	26,750	29,123	31,603	34,185	36,705
<i>DnA</i>	1,386	1,743	1,897	2,059	2,227	2,391
<i>CapEx</i>	1,597	1,748	1,915	2,091	2,276	2,459
<i>Change in net working capital</i>	-	(972)	(1,000)	(1,045)	(1,088)	(1,062)
<i>Unlevered FCF</i>	22,943	27,716	30,106	32,615	35,223	37,699
			8.62%	8.33%	8.00%	7.03%

Free Cash Flows

DCF	FY2027	FY2028	FY2029	FY2030	FY2031
Currency	USD	USD	USD	USD	USD
Units	Millions	Millions	Millions	Millions	Millions
Unlevered FCF	27,716	30,106	32,615	35,223	37,699
Discount factor	0.933501879	0.87142576	0.81347758	0.75938285	0.70888532

DCF Assumptions

PV of explicit FCF	132,112
WACC	7.12%
Marginal tax rate	22.09%
Growth rate	3.00%
Terminal value (Gordon)	941,674.65
PV of TV	667,539.34
Enterprise value	799,651.02

The bridge (latest balance sheet-Q3 FY 2026)

Equity	
<i>Total debt</i>	23,858
<i>Cash and cash equivalents</i>	12,359
<i>Investment securities (current & noncurrent)</i>	1,583
Equity value	789,735
Value	
<i>As-converted share count</i>	1,914
Value per share	412.6097309

Double checks

Implied exit multiple 20.09 TV / FY2031 EBITDA

TV as % of EV 83.48%

Sensitivity Analysis & Reverse DCF

Sensitivity analysis

Table A: WACC x Terminal Growth

412.61		2.00%		2.50%		3.00%		3.50%		4.00%
6.12%	\$	428.17	\$	480.24	\$	548.99	\$	643.99	\$	783.80
6.62%	\$	380.44	\$	420.48	\$	471.58	\$	539.05	\$	632.28
7.12%	\$	342.06	\$	373.68	\$	412.97	\$	463.12	\$	529.34
7.62%	\$	310.51	\$	336.02	\$	367.06	\$	405.63	\$	454.85
8.12%	\$	284.13	\$	305.08	\$	330.13	\$	360.59	\$	398.46

Table B: WACC x incentives

	412.6097309		27.00%		28.00%		28.50%		30.00%		32.00%
6.12%	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$412.61
6.62%	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$412.61
7.12%	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$412.61
7.62%	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$412.61
8.12%	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$	412.61	\$412.61

Reverse DCF

Implied terminal growth	2.2913%
Implied WACC	7.7154%
Implied incentives	37.5089%